

The Expert View: Rethinking the organisation when knowledge is no longer scarce

Business Reporter · Breakfast Briefing, The Goring Hotel, London · June 2026

For decades, organisations have been designed around a simple assumption: knowledge is scarce, so authority flows to those who possess the most of it. AI challenges that logic. As access to knowledge becomes democratised, the differentiators become judgment, accountability, trust and adaptability, forcing leaders to rethink not just how work gets done, but how organisations themselves are structured. AI threatens that structure by making knowledge virtually ubiquitous.

That was the starting point for a Business Reporter breakfast briefing at The Goring Hotel in London, hosted by PA Consulting, where senior executives from the financial services sector discussed what happens to organisational design when knowledge stops being scarce.

Amy Finn, Partner at PA Consulting, framed the problem. Organisations were structured around knowledge, which people accumulated through their careers. Those at the top typically had the deepest or broadest knowledge. When knowledge is available instantly from AI assistants and agents, a new challenge arises: working out what matters in how we create and structure organisations.

Judgment, expertise and accountability

The most important human knowledge in the organisation, one attendee said, often covers the gaps that technology has not filled. AI can be viewed as an auditor of an organisation's capabilities, exposing where judgment and expertise really reside. Years of outsourcing complicate the picture, because transformation must now run through third parties, as well as internal teams.

Accountability was the thornier issue. Who is responsible when something goes wrong, and what happens to senior manager function (SMF) accountability when leaders are a long way from the technology carrying out the work? Existing rules still apply, one attendee argued: feed a system bad data and the fault is yours. The question gets harder when technology is talking to technology.

One participant described customers building their own agents to handle insurance renewals. Those agents then bypass everything the firm has invested in its customer

journey, raising the possibility that they might buy an inappropriate product.

The group agreed humans should hold strategy and the big decisions. Just because a task can be automated does not mean it should be. The personalised human touch, some suggested, may end up as a luxury.

Whose data, and is it good enough?

Data-led decisions depend on observability, and the room was not convinced the industry is good at it. One attendee held up Formula 1 teams as the model: outfits that train people to make instant, data-driven decisions. But others pushed back. Formula 1 teams also have very good data to act on, they noted. They are not trying to make decisions from 64,000 dashboards, the figure one large bank had accumulated, much of it duplicated or inconsistent.

Worse, firms have often accumulated data that contains biases: for example, against offering loans to female customers. One attendee suggested that synthetic data might be able to correct for this, although the preferred solution would still be to fix the real data.

Cost, trust and the customer

Cost underpinned much of the discussion. AI is cheaper than a person for some use cases, but other use cases are still cheaper when done by humans, particularly when not at scale. The firms deploying AI well are chasing value and growth rather than simple efficiency.

Contact centres were the sharpest example. An AI contact centre can run at a fifth of the cost of a human one, one participant said, and older customers were delighted because the bot would talk to them for as long as they liked, where humans had been incentivised to keep calls short.

Even so, financial services firms currently hesitate over customer-facing uses, partly for regulatory reasons and partly because trust is not yet there. AI can be biased, and a regulated firm has a duty of care. Trust, the group agreed, sets the pace of adoption. Second- and third-line functions could probably be automated already, but the trust gap holds it back. One idea floated was to nudge customers towards automated channels, by giving a discount for using an AI contact centre, say.

Skills and the future of management

The talent question divided the room. There is a risk that leaning on AI stops people developing the critical thinking they need, though the pace of change makes it hard to judge. Better, some argued, to recruit for attitude and aptitude: can someone learn, and are they adaptable? Plenty of organisations still rely on osmosis to pass knowledge on, and that is now too slow.

Management itself is in question. AI will help managers oversee more people, so the group expected to need fewer managers over time, though graduates and leaders would still be required, albeit in roles that look different from today's. What is hard to automate, one attendee noted, is adapting to changes in the system itself, which is why firms may have to rethink how they judge and reward managers.

Source: Business Reporter — businessreporter.co.uk · Sponsored by PA Consulting · paconsulting.com